BIZZI GROUP

Accounts Payable Executive Summary

Prepared for: Finance Manager

Spend by Company

Breakdown of accounts payable by division performance

Bizzi Manufacturing

Accounts for 53.5% of total expenditures, indicating strong reliance on this division for overall financial management.

Bizzi Retail

Contributes **26.5%** to the spending, reflecting its significant role within the company's operational framework and supplier relationships.

Bizzi Tech

Represents **20.1%** of total spending, showcasing its importance in maintaining competitive advantage through innovation and technology investments.

Operational Inefficiencies

Analyzing delays in the payment cycle process

Payment Delays

37 invoices (24%) were paid later than expected, taking between 46 and 60 days to process, significantly impacting cash flow.

Average Payment Time

The average time to settle invoices is **30.7 days**, indicating a need for improved efficiency in the payment cycle management.

Missing Discounts

Currently, there is **no strategy** for early payment discounts, which could help reduce overall costs and improve vendor relationships.

Overdue Invoices

Addressing critical payment delays in accounts payable

Overdue Amount

There are **49 overdue invoices** totaling **$260,983**, which represents **21% of total spend** for the fiscal year.

Longest Overdue

The longest overdue invoice is **172 days old**, associated with Invoice #141 for **Vietnam Airlines**, highlighting significant delay issues.

Lack of Alerts

Currently, there is **no alert or escalation process** in place for overdue payments, leading to extended delays in processing invoices.

Data Quality Issues

Critical errors impacting the Accounts Payable process

Duplicate Invoices

Invoice #1001 is an exact duplicate of Invoice #11, leading to potential confusion in accounting records.

Credit Note Mistake

Invoice #6, a credit note of -$370, was incorrectly entered among regular invoices, complicating financial tracking.

Lack of Detection

There is currently no system in place for identifying duplicate entries or validating credit notes, increasing financial risk.

AP Process Risks

Understanding the critical risks in accounts payable

Cash Flow Risk

The current overdue amount of **$260,983** poses a significant cash flow risk to the organization, impacting financial stability.

Vendor Concentration

With **31%** of spend concentrated on Shopee Ads, this creates potential vulnerabilities in supplier relationships and negotiation power.

Process Control Gaps

The absence of **SLAs** and alerts contributes to inefficiencies, increasing the likelihood of payment delays and operational risks.